which is in itself very considerable.'* This is perfectly true and India's contribution to the war effort has grown tremendously since this was said. One would imagine that this represents a vast increase in industrial activity and a much larger index of production. Yet, surprisingly, there has not been much change. The index of India's industrial activity in 1938-39 was 111.1 (taking 1935 as 100). In 1939-40 it was 114.0; in 1940-41 it varied between 112.1 to 127.0; in March, 1942, it was 118.9; it fell in April, 1942, to 109.2, and then gradually rose to 116.2 in July, 1942. These figures are not complete as they do not include munitions and some chemical industries. Nevertheless they are important and significant.

The amazing fact emerges that the total industrial activity of India in July, 1942, was, apart from munitions, etc., only slightly in excess of the pre-war period. There was a brief spurt in December, 1941, when the index figure went up to 127.0, and then declined. And yet the value of Government contracts placed with industries was progressively increasing. For the six months October to March, 1939-40, these contracts amounted to 290 million rupees, according to Lord Linlithgow, and for the six months